

[Give Now](#)

Former San Diego Mayor Gambled Away Millions

By [Thomas Fudge](#) / Science and Technology Reporter, City News Service

Published February 14, 2013 at 7:57 AM PST



This story was published more than 13 years ago.



10News

Former San Diego Mayor Maureen O'Connor appeared in federal court and entered into a deferred prosecution agreement in which she acknowledged misappropriating millions of dollars from her deceased husband's charitable foundation, February 14, 2013.

Federal prosecutors say former San Diego mayor Maureen O'Connor, 66, gambled away millions of dollars, and embezzled money from her late husband's foundation in the process.

KPBS

KPBS Midday Edition

Former San Diego Mayor Gambled Away Millions

Federal prosecutors say former San Diego mayor Maureen O'Connor gambled away millions of dollars.

[Show transcript](#)



Prosecutor Phillip Halpern during press conference

Former San Diego Mayor Gambled Away Millions

Federal prosecutors say former San Diego mayor Maureen O'Connor gambled away millions of dollars.

O'Connor appeared in federal court Thursday morning and pleaded not guilty to embezzlement charges. She has entered into a deferred prosecution agreement in which she acknowledged misappropriating millions of dollars from the R.P.

KPBS

KPBS Midday Edition

The U.S. Attorney agreed to a deferred prosecution due to O'Connor's health. The former mayor has suffered from a brain tumor, which her lawyer suggested contributed to her gambling addiction.

O'Connor was addicted to video gaming. Prosecutor Phillip Halpern said over the course of a decade O'Connor won as much as \$1 billion and lost more than that. Her lawyer said those figures are misleading because they are cumulative numbers and O'Connor never had a billion dollars to lose at any one time.

Attorney Eugene Iredale said his client's total losses were in the neighborhood of \$13 million.

O'Connor was San Diego's first female mayor, holding the office for two terms from 1986 to 1992. The popular Democrat was a physical education teacher before entering the political arena. She sat on the City Council and the San Diego Unified Port District Commission prior to becoming mayor.

In 1977, she married Robert O. Peterson, who founded the Jack-In-The-Box fast-food chain and later Southern California First National Bank, which eventually became part of the Union Bank empire. The couple had no children, and he died in 1994.

O'Connor kept a low profile since leaving the mayor's office but her real estate investments recently gained attention, according to U-T San Diego.

She sold the luxury Heritage House resort in Mendocino County for \$19.5 million in 2005 and has since sued the German bank that provided financing for the buyers for fraud, the newspaper reported.

In 2010, O'Connor sold the La Jolla home now owned by former Republican presidential nominee Mitt Romney for \$2.5 million. The sale was a short sale, and soon after the purchase the county reassessed the property at a \$4.5 million value, according to U-T San Diego.

Corrected: June 4, 2026 at 12:43 PM PDT

KPBS

KPBS Midday Edition

\$1 billion--her lawyer says her losses were in the low millions.

Tags

[KPBS Midday Edition](#)[Law](#)

Thomas Fudge

A journalist with 30 years of experience, Tom covers science and technology stories for KPBS' platforms. He has received recognition for his outstanding work in hosting and public affairs reporting from the Unity Awards, the Northwest Broadcast News Association, and the San Diego chapter of the Society of Professional Journalists.

[See stories by Thomas Fudge](#)

Trending ↗



Election results



Backyard 'undersea' garden



Escondido Gulls rink

Sign up for our newsletters!

Keep up with all the latest news, arts and culture, and TV highlights from KPBS.

Email address *

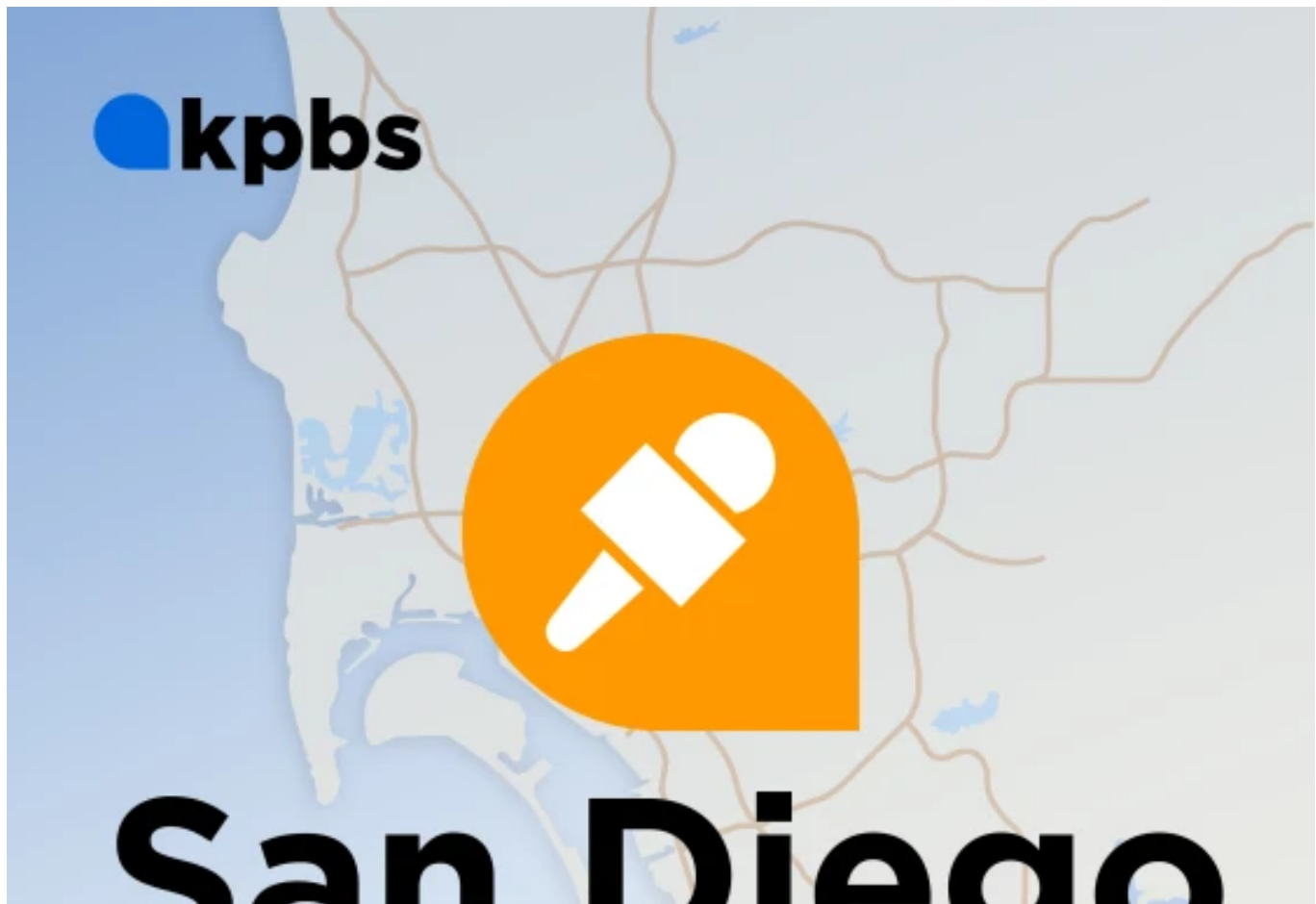
KPBS

KPBS Midday Edition

- ☐ TV Highlights
- ☐ The Catch Up
- ☐ KPBS/Arts
- ☐ KPBS' Most Popular
- ☐ KPBS Streaming Picks
- ☐ North County Focus

SUBSCRIBE

LATEST IN PODCASTS



KPBS
KPBS Midday Edition

NEWS NOW

npr Network

A centuries-old legal remedy is now being met with challenging countertactics

LATEST IN EVENTS



Street Level X Art Walk: June

LATEST IN TV HIGHLIGHTS

KPBS

KPBS Midday Edition



Hunting The Stone: Suiseki in the West

Most Popular ›



KPBS

KPBS Midday Edition

Live election results: 'No' vote leads early returns for Measure A, the 'non-primary homes' tax

Live results: Hilton, Becerra lead first returns for California Governor

Five things to know about California's election, from Congress to the governor's race

Live election results: Bailey, Crosby lead first returns for San Diego City Council District 2

Live election results: Jones, Krahel lead first returns for San Diego County Board of Supervisors, District 5

Fact-based local news is essential

KPBS keeps you informed with local stories you need to know about — with no paywall. Our news is free for everyone because people like you help fund it.

**Without federal funding, community support is our lifeline.
Make a gift to protect the future of KPBS.**

Donate



Living

American Airlines temporarily suspends some of its summer routes due to steep jet fuel costs

15 minutes ago



KPBS

KPBS Midday Edition

Living

Trio of star-studded World Cup opening ceremonies in US, Canada and Mexico aim to showcase unity

29 minutes ago



Arts & Culture

Ngozi Anyanwu's new play redefines who 'The Monsters' are

1 hour ago



KPBS

KPBS Midday Edition



Politics

A California housing bill would raise wages to \$28. Why do some unions hate it?

1 hour ago

KPBS

KPBS Midday Edition



About

[About Us & Mission](#)

[Newsletters](#)

[Careers](#)

[FCC & Financial](#)

[Mobile Apps](#)

[Press Releases](#)

[Privacy Policy](#)

[Staff](#)

[Terms of Service](#)

Help

[Audience and Member Services](#)

[Closed Captioning](#)

[Contact Us](#)

[FAQs](#)

[How do I listen?](#)

[Passport Help](#)

[Help Center](#)

Give

[Corporate Support](#)

[Donate](#)

[Membership Information](#)

[Other Ways to Give](#)

[Tax ID](#)

[Vehicle Donation](#)